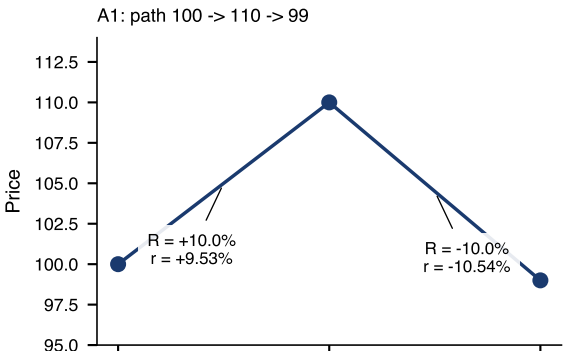
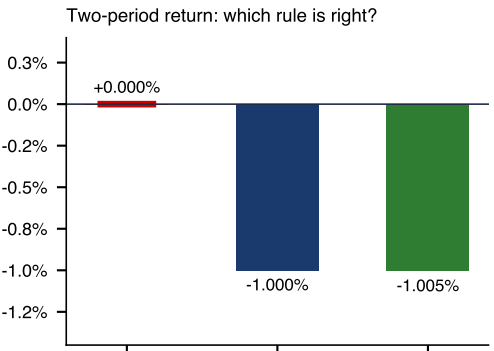

A1: path 100 -> 110 -> 99
Price
112.5
110.0
107.5
105.0
102.5
100.0
97.5
95.0
R = +10.0%
r = +9.53%
R = -10.0%
r = -10.54%
t = 0
t = 1
t = 2


Two-period return: which rule is right?
0.3%
0.0%
-0.2%
-0.5%
-0.8%
-1.0%
-1.2%
+0.000%
-1.000%
-1.005%
Sum of simple returns
Compounded simple returns
Sum of log returns